

should place up to 25% in these markets.” The term “emerging markets” is a euphemism that means low-priced stocks of under-capitalized companies in politically shaky countries with little or no history of capitalism. *These are the “cats and dogs” of the global bull market.* Today’s emerging markets will soon be submerging markets, and their collapses will sour investors for decades thereafter on the now certified-sensible idea of diversified global investing.

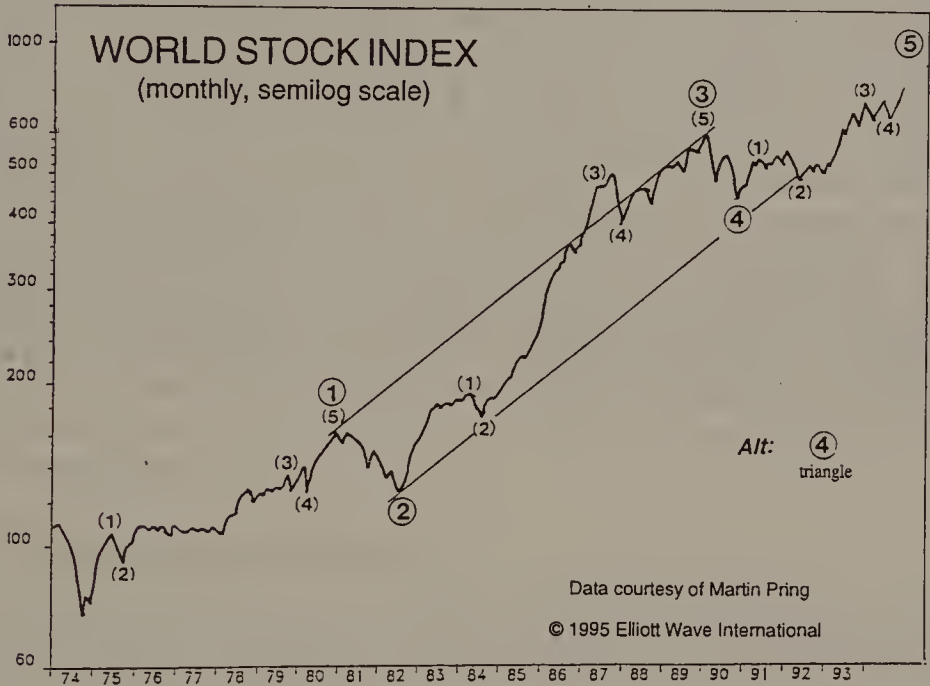


Figure 8-6